

COMPENSATION PLAN WORKSHEET

Use this worksheet to design clear, performance-aligned compensation plans. Remember: People do what they're paid to do. Clarity beats generosity.

STEP 1: Define the Role

Role Title: _____

Primary Responsibilities:

STEP 2: Define the Win Condition

What does 'winning' look like in this role?

STEP 3: Base Compensation

☐ Salary

☐ Hourly

☐ Draw

Base Amount: _____

STEP 4: Variable / Performance Compensation

Select all that apply:

☐ Sales Commission

☐ Production Pay

☐ KPI Bonus

☐ Profit Sharing

☐ Revenue Share

☐ Milestone Payment

☐ Retention Bonus

☐ Team Bonus

☐ Other: _____

How is variable pay calculated?

STEP 5: What Increases Pay?

STEP 6: What Puts Pay at Risk?

STEP 7: Review Cadence

☐ Monthly

☐ Quarterly

☐ Annually

Review Process Notes:

COMPENSATION GOVERNANCE CHECK

Before finalizing, confirm:

☐ This plan increases or protects revenue.

☐ This plan rewards the right behaviors.

☐ This plan is simple and clearly explained.

☐ This plan is documented in writing.

☐ This plan applies consistently to everyone in the role.

Owner Signature: _____ Date: _____

BASIC GUIDE TO WRITING A COMPENSATION PLAN

(For Small Business Owners)

STEP 1: Start With the Golden Rule

From the book:

Every role needs a clear “win condition.”

Before writing numbers, answer:

1. What is this role responsible for?
2. How does this role impact revenue?
3. What does “winning” look like in this seat?
4. What behaviors do I want more of?
5. What behaviors must not be rewarded?

If someone asks,

“How do I make more money here?”

You should have a clear answer.

STEP 2: Choose Your Compensation Components

Below is a comprehensive list of compensation elements you can include. You don’t need all of them — but these are your tools.

CORE PAY STRUCTURES

1. Base Salary

- Fixed annual pay
- Predictable
- Works best for leadership, admin, management roles

2. Hourly Pay

- Paid per hour worked

- Good for service businesses and labor roles
- Needs performance structure attached (per book principles)

3. Draw

- Fixed advance against future commissions
 - Common in early sales teams
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PERFORMANCE-BASED PAY

4. Sales Commission

- % of revenue sold
- Flat rate or tiered
- Can be gross revenue or gross margin based

5. Production Pay

- Paid per job completed
- Per unit installed
- Per project delivered

6. Bonus (Performance Bonus)

- Monthly / quarterly / annual
- Based on hitting KPIs
- Revenue
- Profit
- Quality
- Customer satisfaction
- Efficiency metrics

7. KPI Bonus

- Tied to measurable outcomes:
 - Jobs completed
 - Calls answered
 - Error rates
 - Customer ratings
 - Retention
 - Upsells

8. Profit Sharing

- % of net profit distributed
- Aligns team with margin health
- Can be company-wide or role-specific

9. Revenue Share

- % of revenue from accounts managed
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GROWTH & LONG-TERM INCENTIVES

10. Equity

- Ownership stake
- Usually for partners or senior leaders

11. Phantom Equity

- Performance-based “equity-like” payout
- No actual ownership

12. Stock Options (for corporations)

13. Retention Bonus

- Paid after staying X months/years
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MILESTONE-BASED PAY

14. Milestone Payments

- Paid when:
 - Project finishes
 - Department hits target
 - Company hits revenue goal

15. Hiring Bonus

- Paid for recruiting strong team members

16. Expansion Bonus

- Paid for opening new locations
 - Launching new service lines
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BEHAVIOR & CULTURE-ALIGNED PAY

Remember from the book: compensation signals what matters.

17. Quality Bonus

- Based on customer reviews
- Low callbacks
- Low defects

18. Customer Retention Bonus

- Based on repeat purchases
- Renewal rates

19. Team Performance Bonus

- Paid when the team hits collective goal
 - Encourages collaboration
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OPERATIONAL INCENTIVES

20. Efficiency Bonus

- Speed with quality maintained
- Reduced waste
- Fewer errors

21. Cost-Saving Incentive

- Bonus for reducing expenses

22. Utilization Bonus

- For billable-hour roles
- % of billable time achieved

OWNER COMPENSATION (Often Forgotten)

From the book:

“Bad owner comp: Whatever’s left.”

“Good owner comp: Fixed salary with profit-based upside.”

23. Fixed Owner Salary

24. Owner Profit Distribution

25. Owner Performance Bonus

Yes — the owner needs a compensation plan too.

STEP 3: Define the “Win Condition” for Each Role

For every role, write:

Role:

Base Pay:

Variable Pay:

What Increases Pay:

What Puts Pay at Risk:

Review Frequency:

If you cannot explain it in one paragraph, it’s too complicated.

STEP 4: Avoid These Common Mistakes (From the Book)

- ✗** Paying everyone the same “to be fair”
- ✗** Changing pay rules constantly
- ✗** Making quiet exceptions

- ✗ Rewarding bad behavior
- ✗ Avoiding performance conversations
- ✗ Letting compensation live in your head

“People don’t argue with clear rules. They argue with ambiguity.”

STEP 5: Keep It Simple (Small Business Rule)

For small businesses:

Most roles should have:

- A stable base
- A clear performance upside
- A defined review cadence

You do not need Wall Street complexity.

You need:

Clarity

Consistency

Alignment

SIMPLE COMPENSATION PLAN WORKSHEET

You can copy this into your workbook:

COMPANY COMP PLAN STRUCTURE

1. Revenue Drivers:

What actually grows this business?

2. Roles & Win Conditions:

Role Base Variable Measured By Paid When Reviewed

3. Guardrails:

- No exceptions without written change
 - Reviewed quarterly
 - Changes communicated in writing
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4. CEO Check:

Does this:

- Increase revenue?
- Protect margins?
- Reward the right behaviors?
- Create clarity?

If not — rewrite it.

Final Principle

Compensation is not about generosity.

It is about alignment.

If your pay structure is clear:

- Drama drops
- Accountability rises
- Performance improves
- Trust builds

If it's unclear:

- You negotiate constantly
- Top performers leave
- Average performers coast
- Culture weakens

